

May 27, 2025

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Re: Response of the Vehicle-Grid Integration Council to Advice Letter 4655-E of San Diego Gas & Electric Company, Advice Letter 7591-E of Pacific Gas and Electric Company, Advice Letter 5544-E of Southern California Edison Company

Dear Sir or Madam:

Pursuant to the provisions of General Order 96-B, the Vehicle-Grid Integration Council (“VGIC”) hereby submits this response to the above-referenced Advice Letter 4655-E of San Diego Gas & Electric Company (“SDG&E”), Advice Letter 7591-E of Pacific Gas and Electric Company (“PG&E”), Advice Letter 5544-E of Southern California Edison Company (“SCE”), *Joint Request to Streamline Low Carbon Fuel Standard Processes and Align with California Air Resources Board Regulation* (“Joint Advice Letter”), submitted on May 7, 2025.

I. INTRODUCTION.

VGIC is a 501(c)6 membership-based advocacy group committed to advancing the role of electric vehicles (“EV”) and vehicle-grid integration (“VGI”) through policy development, education, outreach, and research. VGIC supports the transition to a decarbonized transportation and electric sector by ensuring the value from EV deployments and flexible EV charging and discharging is recognized and compensated to achieve a more reliable, affordable, and efficient electric grid.

II. DISCUSSION.

VGIC strongly supports the overall intent of the Joint Advice Letter and streamlining approvals for the use of LCFS holdback funds. These funds offer a valuable opportunity to support transportation electrification and advance grid-beneficial EV programs. Critically, VGI initiatives offer one of the only tools to increase the efficiency of the existing grid and mitigate the need for new distribution system upgrades, which, in turn, can stave off the mounting pressure on utility rates. VGIC welcomes the California Air Resources Board’s (“CARB”) updated LCFS regulation,

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which positions California to remain a leader in transportation emissions reduction. The LCFS latest regulation also explicitly details Pre-approved Holdback Projects, including the following uses:

- i. Investments in grid-side distribution infrastructure necessary for EV charging.
- ii. Support for vehicle-grid integration with projects such as:
 - I. Encouraging the optimization of EV charging through education in the following areas: peak demand, rate pricing, grid emergencies, potential power shutoffs, infrastructure deferral, renewable integration, and/or other signals and grid needs to provide grid and customer benefits.
 - II. Providing program incentives to encourage driver participation in monitored/managed charging, demand response, or vehicle-to-load / vehicle-to-grid applications.
 - III. Supporting the deployment and installation of bidirectional charging equipment.
 - IV. Other innovative approaches to promoting and managing EV charging and discharging that provides benefits to customers and the grid.
- iii. Hardware and software that decrease the cost of or avoid updates to infrastructure, including load management software or outlet splitting.¹

Holdback funding represents a no-regrets strategy to launch innovative, non-ratepayer-funded programs that can deliver ratepayer benefits and generate critical data to inform broader VGI market development to ensure the availability of EVs as DERs in the California's long-term energy planning toolkit.

A. VGIC Strongly Supports CPUC Directing the IOUs to Comply with the Latest CARB Regulation and Guidance to Minimize Misalignment.

As detailed in the Advice Letter, substantial changes to the LCFS regulation were made in the 2024 Amendments adopted by CARB. The IOUs find themselves in a unique situation, required to comply with both CARB's guidance in the LCFS regulation and CPUC's guidance in Decision ("D.") 20-12-027. VGIC agrees with the Joint Utilities that "there may be downstream adjustments that the IOUs cannot foresee now."² The Advice Letter's request for the resolution to "direct the IOUs to comply with the most recent CARB regulation and guidance documents"³ represents the most effective pathway forward to avoid unnecessary delays and conflicts. VGIC strongly recommends that CARB's new Pre-approved Holdback Projects not be improperly obscured by conflicting guidance, as it risks undermining CARB's explicit intent for the use of these funds. In the case of any conflict, IOUs must comply with CARB's language regarding the use of these holdback revenues, as LCFS is designed and approved by CARB. This is the case not only for these recently adopted amendments, but also future LCFS amendments that CARB may adopt. The

¹ See CARB's recent LCFS Amendments, [Attachment A-1: Final Regulation Order \(Proposed Sections for Amendments\)](#) at p.49-50.

² Advice Letter at 9.

³ *Ibid.*

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Commission should therefore direct the utilities to follow CARB guidance on a going forward basis to encompass current and future changes to LCFS.

B. VGIC Supports Streamlining of LCFS Holdback Program Creation and Approval.

VGIC strongly supports efforts to streamline the process for submitting and approving programs funded by LCFS holdback proceeds. Having holdback programs proposed and updated on an *ad hoc* basis appears to create unnecessary friction in the processing of Advice Letters. This has created administrative burdens and made it harder for stakeholders to track program developments. VGIC agrees that having an annual filing process will help stakeholders better evaluate utility LCFS portfolios and ensure more orderly and transparent review.

However, the benefits of this streamlined proposal process will only be realized if the Commission also commits to predictable and timely approvals. VGIC respectfully urges the Commission to adopt and communicate its timeline for approving both annual implementation plans and annual forecast advice letters. Committing to approval by July 31st for implementation plans submitted each January, and by December 31st for September forecast filings, would provide much-needed regulatory certainty and reduce the bottlenecks that often delay program deployment. These deadlines will enable utilities and partners to make timely investments that align with policy priorities and grid needs.

VGIC also encourages the Commission to consider other methods of increasing transparency around LCFS holdback programs. This could be via a webpage on the Commission website with approved LCFS programs and pending Advice Letters or another central repository for information.

C. VGIC Encourages IOUs to Include Expected Multi-Year Budgets for Programs Anticipated to Extend Beyond Two Years.

While the Joint Advice Letter proposes that IOUs include two years of budget in implementation plans for new programs, VGIC recommends that utilities also include estimated budgets for the full expected program duration when programs are anticipated to last longer than two years. Even if only the first two years are formally approved, providing a forecast of future years will improve transparency and support more effective long-term planning by stakeholders and the Commission.

VGIC is supportive of annual budgets true-ups through the September forecast advice letter to reflect actual LCFS credit generation and revenue availability. Including longer-term projections upfront does not limit the flexibility to adjust budgets later; instead, it enables stakeholders to better understand funding expectations, program scalability, and resource needs at the outset. This visibility is particularly important for programs involving infrastructure development or requiring significant customer outreach and onboarding.

D. VGIC Supports Preserving Flexibility for Near-Term LCFS Filings

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VGIC supports the Joint Utilities' proposal to establish an annual January 31 Tier 2 Advice Letter deadline for new LCFS program proposals. A regular cadence should improve regulatory certainty, streamline Energy Division review, and allow more orderly evaluation of LCFS-funded portfolios. Because 2025 is a transition year, VGIC respectfully requests that the Commission clarify that utilities may continue to submit—and Energy Division may continue to act upon—additional LCFS program Advice Letters during 2025, prior to the first formal January 31, 2026 filing cycle.

Restricting Advice Letter activity this year could delay timely, high-value vehicle-grid-integration initiatives that fall within CARB's pre-approved Holdback Projects. VGIC therefore urges the Commission to state that utilities may still file LCFS-funded proposals on an ad-hoc basis in 2025 and that such filings will remain eligible for review and disposition outside the annual cycle when appropriate.

Maintaining this flexibility will sustain momentum. VGIC recently supported Southern California Edison's Advice Letter 5536-E a Tier 2 advice letter that proposes a large-scale managed charging program, the Orchestrated Charging and Advanced Resiliency for Distribution ("ORCHARD") Program, consistent with CARB guidance and Commission direction in Decision 20-12-027. VGIC encourages the Commission to ensure that Advice Letter 5536-E, and any similar proposals that Pacific Gas and Electric or San Diego Gas and Electric may advance in the coming months, can be processed without deferral to 2026.

III. CONCLUSION.

VGIC appreciates the opportunity to submit this response to the Joint Advice Letter. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen

Executive Director

VEHICLE-GRID INTEGRATION COUNCIL

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